

amount in a little more than seven years. If the Howards continue to keep their debt level around \$30,000, they will continue to pay \$5,400 each year until they are debt free. This time may never come if they keep spending and their debt level never decreases. In seven years time, they will have paid \$37,800 in interest compared to earning \$10,800 if they had saved the first year’s interest.

The value of having your money work for you instead of against you was not lost by Pete’s boss, Mr. Andrews. When Pete first joined the firm several years ago, he was a young lawyer right out of college. Mr. Andrews became Pete’s mentor and Pete tried to become a clone of the boss he respected so much. In fact, he modeled not only his boss’ work habits but his personal ones as well. Mr. Andrews lived a lavish lifestyle. He always went out to eat at expensive restaurants and bought the most expensive suits, watches, and briefcases. Pete envied this lifestyle and became even more bound and determined to become just like his boss.

Pete was very sad when Mr. Andrews finally announced his retirement. By the time Mr. and Mrs. Andrews had reached retirement age, they had a very full scrapbook of memories from their life’s adventures, but a very empty bank account. Faced with a severely decreased income from social security, their standard of living plummeted drastically from the standard to which they were accustomed. This was a serious shock to them. After a lifetime of being able to do almost anything they wanted without having to budget, the reality of living on a fixed income at their age proved very sobering.

By living only in the present with no thought for the future, the Andrewses found that the future had arrived, but they weren’t prepared for it. If they had only realized that their lavish lifestyle had only been made possible by Mr. Andrews’ high salary and that social security income could not hope to

